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Question

Eighteenth-century economist Adam Smith is famed for his metaphor of the invisible hand, which he putatively used to illustrate a robust model of how individuals produce aggregate benefits by pursuing their own economic interests. Note “putatively”: as Gavin Kennedy has shown, Smith deploys this metaphor only once in his economic writings—to make a narrow point about the then-dominant economic theory of mercantilism—and it was largely ignored until some twentieth-century economists eager to secure an intellectual pedigree for their views elevated it to a fully-fledged paradigm.

Which choice best states the main idea of the text?

Answer

- A. Although Smith is famed for his metaphor of the invisible hand, the metaphor was largely ignored until economists in the twentieth century came to realize that the metaphor was a robust model that anticipated their own views.
- B. Some twentieth-century economists gave Smith's metaphor of the invisible hand a significance it does not have in Smith's work, but it is nevertheless a useful model of how individuals produce aggregate benefits by pursuing their own economic interests.
- C. Smith's metaphor of the invisible hand has been interpreted as a model of how individuals acting in their own interest produce aggregate benefits, but it was intended as a subtle critique of the economic theory of mercantilism.
- D. The reputation of Smith's metaphor of the invisible hand is not due to the importance of the metaphor in Smith's work but rather to the promotion of the metaphor by some later economists for their own ends.